

June 16, 2026 04:01 AM GMT

From the Global Director of Research | North America

Charts That Caught My Eye

A guiding principle at Morgan Stanley Research is to enhance your investment process by delivering unique insights that separate the signal from the noise. An intuitively designed and well-crafted chart can often accomplish this with exceptional clarity.

With that mission in mind, these charts in our recently published research stood out to me.

1. **Thematics – AI:** A "buy the dip" strategy can enhance alpha in AI-related thematic categories.
2. **US Economics & Strategy:** Equity and rates markets react differently to data surprises depending on whether the CPI is above / below 3%.
3. **Europe Equity Strategy:** We have refreshed our data-driven sector model, doubling down on AI, Banks, and Mining.
4. **China Economics:** We expect a two-speed economy to persist, with exports and emerging manufacturing categories leading while consumption lags.
5. **Multipolar World – US Reshoring:** After a year of tariffs, we are seeing more of a reorientation of supply chains than a "true" US reshoring.
6. **US Economics:** We estimate the breakeven pace for US payrolls (at which the unemployment rate is unchanged) is +50,000 per month.
7. **US Valuation, Accounting and Tax Strategy:** We expect corporates' cash tax rates to fall further this year as additional OBBBA benefits go into effect.
8. **Semiconductors:** Our core view is that the cycle is still accelerating – earnings revisions remain robust and appear sustainable.

Please reach out to me with feedback on these or any other key investment debates. Thank you for your partnership.

Katy Huberty

Global Director of Research

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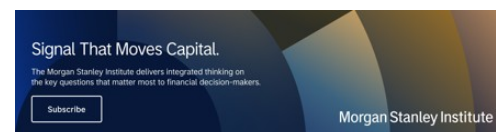
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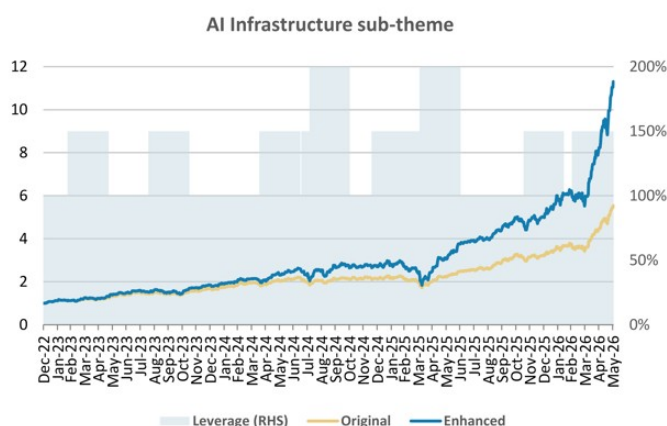
Thematics – AI

‘Buy The Dip’ Can Enhance Alpha in AI-Related Thematic Categories

Thematic investing can be a powerful driver of alpha: YTD, our thematic stock categories have outperformed the S&P 500 and MSCI World by 11% and 12%, respectively. One practical way that thematic conviction can translate into even greater alpha is through disciplined buying during periods of theme-specific volatility – i.e., episodes in which certain thematic categories underperform due to either broad market dynamics or idiosyncratic concerns tied to a given theme. We developed a “buy-the-dip” strategy overlay on Morgan Stanley’s AI Infrastructure (Bloomberg: MSRSTAI) and Powering AI (Bloomberg: MSRSTPAI) subthemes from 2023 onward. The back-tested cumulative performance of the strategy versus the respective underlying thematic portfolios is below.

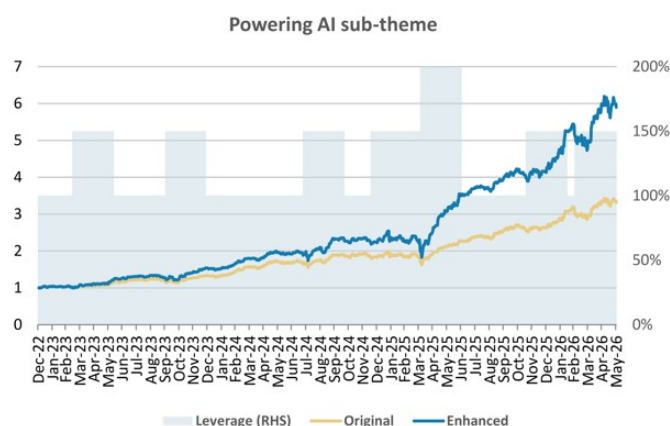
See [Thematics + Mathematics \(11 Jun 2026\)](#)

Exhibit 1: Buy-the-dip strategy cumulative performance since 2023 - "AI Infrastructure" sub-theme



Source: Bloomberg (ticker: MSRSTAI), Morgan Stanley Research. Data as of June 2nd, 2026.

Exhibit 2: Buy-the-dip strategy cumulative performance since 2023 - "Powering AI" sub-theme



Source: Bloomberg (ticker: MSRSTPAI), Morgan Stanley Research. Data as of June 2nd, 2026.

Note: The back-test assumed an initial 100% capital allocation at end-2022. We increase exposure to 150% when the thematic portfolio declines by 5%, and to 200% when it declines by 15%. Each increase in leverage is held for three months (63 trading days), after which exposure reverts to 100%, unless a new signal is triggered earlier.

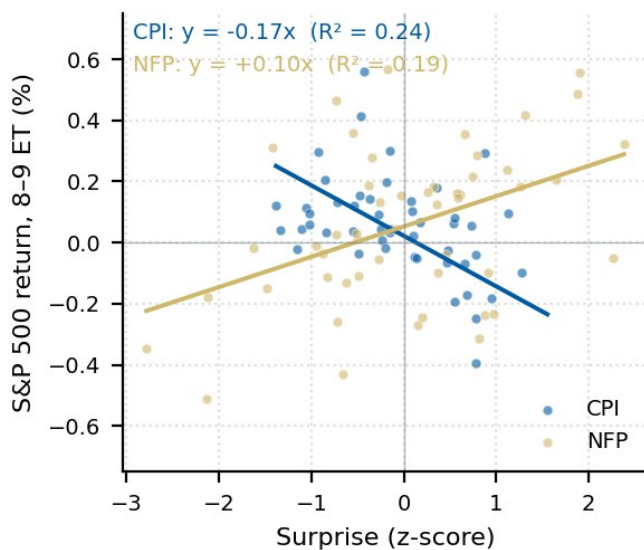
US Economics & Strategy

Above 3%, CPI Hits Different

Upside growth surprises (measured by Nonfarm Payrolls, or NFP) have tended to boost US equities, while upside inflation surprises have tended to weigh on them. Meanwhile, in rates markets, a hot US CPI print tends to push up US front-end rates. But we find that these markets react differently to data surprises depending on whether the CPI is above or below 3% inflation. When headline CPI is above 3% CPI surprises tend to move front-end rates significantly, but when CPI is between 2-3%, only the equity reaction is significant. Meanwhile, when CPI is below 2%, surprises do not reliably move rates or equities.

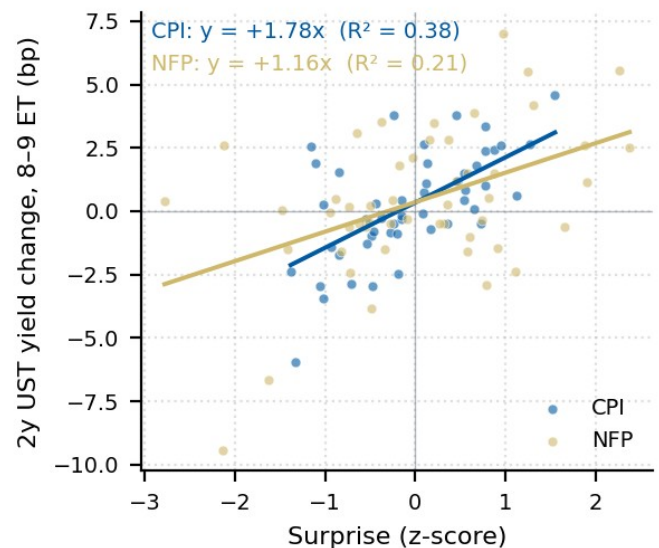
See [Above 3%, CPI Hits Different \(15 Jun 2026\)](#)

Exhibit 3: Hot CPI weighs on the S&P 500 (about -17 bp per +1 σ) while hot NFP lifts it



Source: Bloomberg, Morgan Stanley Research. Note: Sample shown is Jan 2016 - Feb 2020. Y-axis is clipped to (-0.75%, +0.75%). Feb 14 2018 CPI (-1.24% SPX) is omitted for clarity of presentation

Exhibit 4: Both CPI and NFP upside surprises raise US yields



Source: Bloomberg, Morgan Stanley Research. Note: Sample shown is Jan 2016 - Feb 2020

Europe Equity Strategy

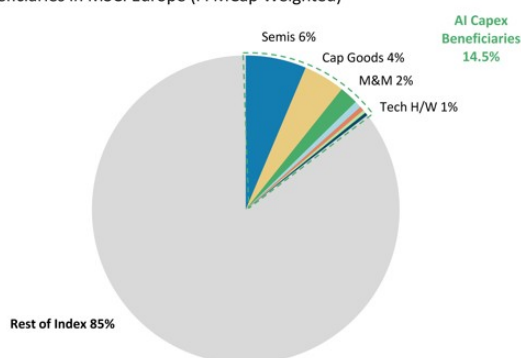
Sector Model Refresh: Doubling Down on AI, Banks, and Mining

We have refreshed our data-driven sector model, using the recent dip to add to categories with outstanding fundamentals across Europe's AI complex, with Semis holding the #1 ranking. Metals & Mining has risen to #2, and from an Equity Strategy perspective, we have upgraded the sector to OW. We have also raised Capital Goods to OW, boosted by its AI exposures. Notably outside of AI, Banks rose to 3rd in our ranking (up from 6th), and we remain OW the sector. We have reduced Defense to EW as a still-positive long-term rearmament view is offset by muted factor momentum and limited near-term catalysts.

See [Sector Model Refresh: Doubling Down on AI, Banks, & Mining \(9 Jun 2026\)](#)

Exhibit 5: Europe's core AI capex beneficiaries make up c. 15% of the MSCI Europe index

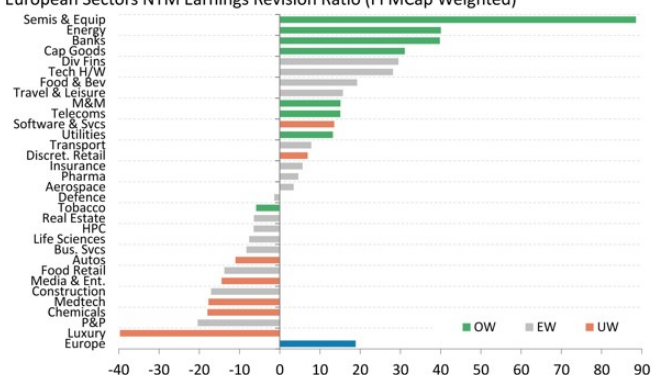
AI Capex Beneficiaries in MSCI Europe (FFMCap Weighted)



Source: LSEG Data & Analytics, Morgan Stanley Research

Exhibit 6: Semis stand out on fundamental momentum indicators; Banks jump back into the top 3

European Sectors NTM Earnings Revision Ratio (FFMCap Weighted)



Source: Based on 45-day consensus window; Source: Factset, LSEG Data & Analytics, Morgan Stanley Research

China Economics

The K-Shaped Economy Is Here To Stay

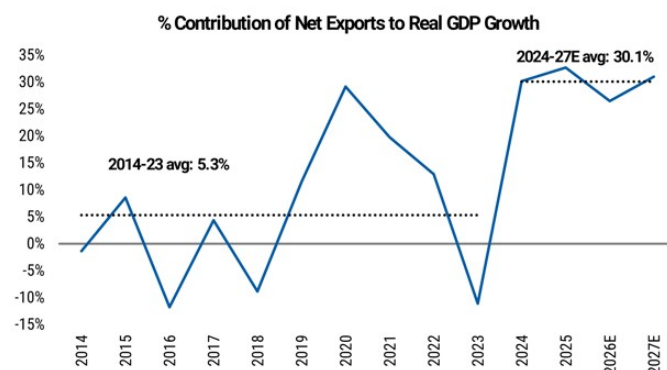
We expect China's real GDP growth to be 4.8% in 2026 and 4.7% in 2027. The key driver would be strength in the "new economy" – exports and manufacturing capex related to AI, energy transition, and emerging tech sectors. The "old economy" stands in contrast – we expect household consumption to be constrained by a soft labor market and ongoing property-market adjustment. But even though we forecast China's export growth to be sustained at 10%, this high reliance on external demand would increase the economy's exposure to the global cycle, as well as potential for heightened trade tensions. The real cure, in our view, is reform that rebalances growth toward consumption.

See [China's 3D Journey: The Hefei Paradox: Why Smart Industrial Policy Can't Fix Macro Imbalances \(7 Jun 2026\)](#)

Exhibit 7: A two-speed economy, stable in aggregate



Exhibit 8: Increased external demand reliance would increase China's vulnerability to global cycle changes



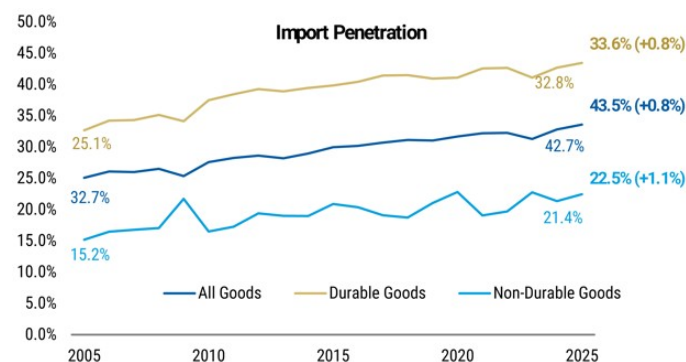
Multipolar World – US Reshoring

Not Quite Yet ...

After one year of tariffs, the data suggest there is more of a reorientation of supply chains than a “true” US reshoring. Although nominal numbers suggest gross output rose considerably in 2025, it was largely price-driven. We are seeing narrow, long-dated investment, but it is tied mainly to AI capacity formation. We do see faint signals of a potential start to selective reshoring, but we believe policy continuity, especially around USMCA, will determine whether the selective reshoring we’ve seen thus far can broaden beyond the AI ecosystem.

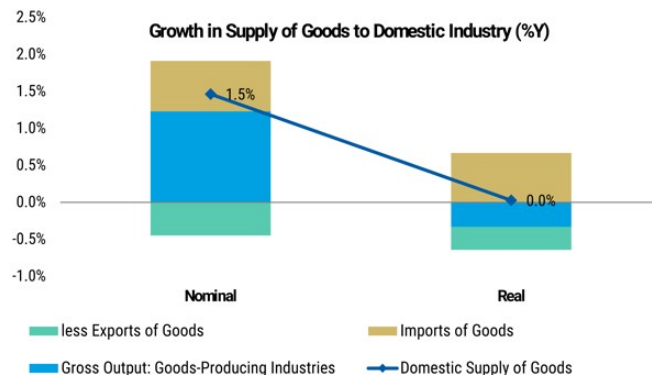
See [Reshoring? Not Quite Yet \(9 Jun 2026\)](#)

Exhibit 9: Import penetration, measured as the share of domestic supply derived from imports, rose in 2025



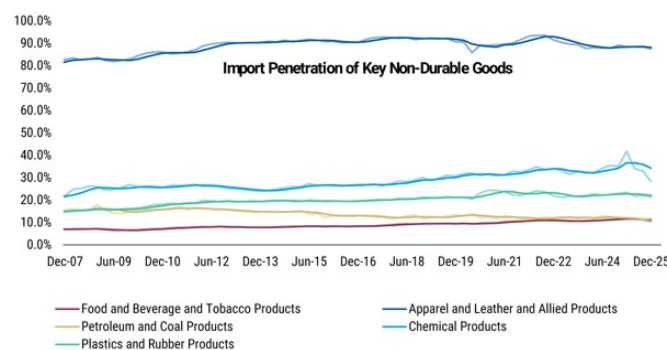
Source: BEA, Census, Morgan Stanley Research

Exhibit 10: Although nominal numbers suggest gross output rose considerably in 2025, it was largely price-driven



Source: BEA, Census, Morgan Stanley Research

Exhibit 11: Import penetration for most non-durable goods has been range-bound



Source: BEA, Morgan Stanley Research

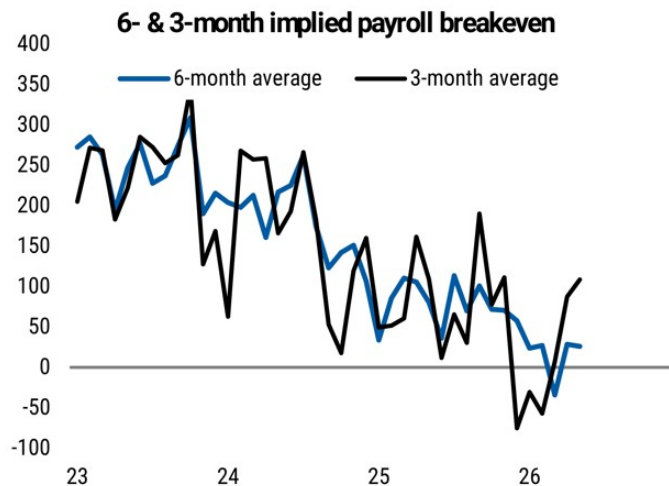
US Economics

We Estimate the 'Breakeven' Payrolls Pace Is +50,000 Per Month

Over the last three months, payrolls averaged +188,000 per month – above our estimate of labor supply growth. We estimate the breakeven pace for US payrolls that is consistent with an unchanged unemployment rate to be 50,000 per month. Six-, nine-, and 12-month comparisons make for a cleaner assessment, and they look consistent with our 50k breakeven estimate.

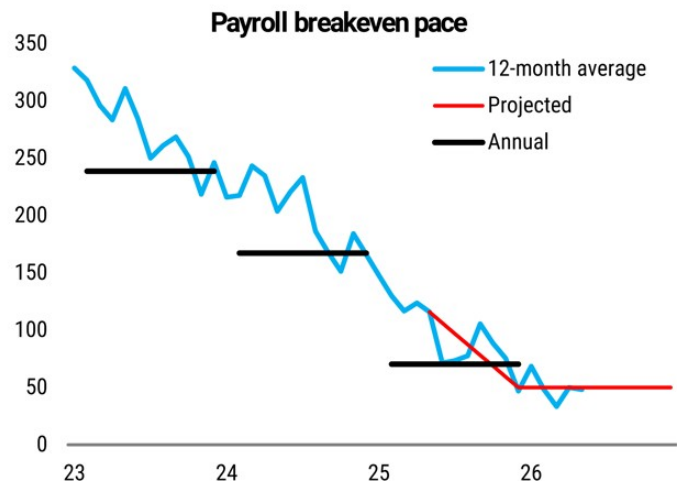
See [Why didn't the unemployment rate fall more? And will labor supply growth be sufficient? \(11 Jun 2026\)](#)

Exhibit 12: The measured breakeven pace for payrolls fell sharply in the three months through February, then rose sharply in the three months through May



Source: BLS, Morgan Stanley Research

Exhibit 13: We continue to expect 50k per month as the breakeven pace; the past 6, 9, and 12 months look consistent with that estimate



Source: BLS, Morgan Stanley Research

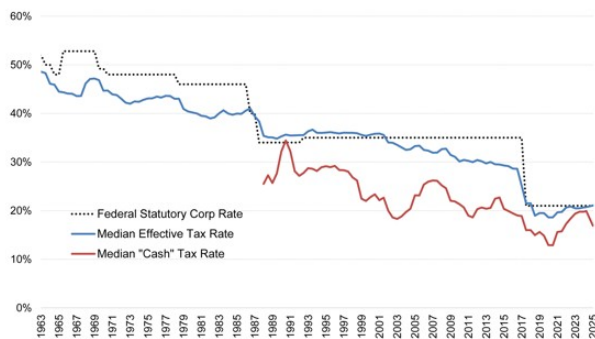
US Valuation, Accounting and Tax Strategy

OBBBA Update – Benefits Still Ahead, 2026 FCF Could Surprise

The One Big Beautiful Bill Act created substantial corporate tax benefits last year, with the median effective cash tax rate falling 3% in 2025. We expect cash tax rates to fall further this year as additional OBBBA benefits go into effect. One result of these OBBBA effects is that corporate tax receipts now make up a smaller contribution to federal government revenue, and we think they are likely to continue to decline.

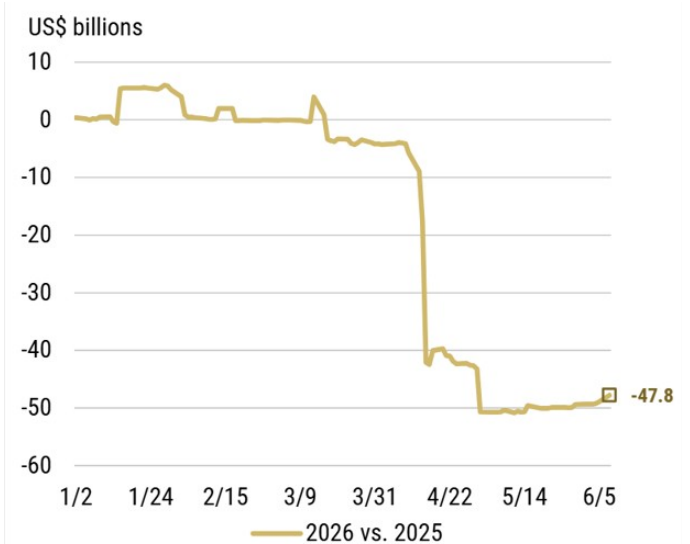
See [OBBBA Update: Benefits Still Ahead, 2026 FCF Could Surprise \(11 Jun 2026\)](#)

Exhibit 14: Corporate Cash Tax Rates Likely to Fall Further



Source: Morgan Stanley Research, Factset.

Exhibit 15: Cumulative difference in corporate income tax receipts: 2026 vs. 2025



Source: Morgan Stanley Research, US Treasury, Bloomberg

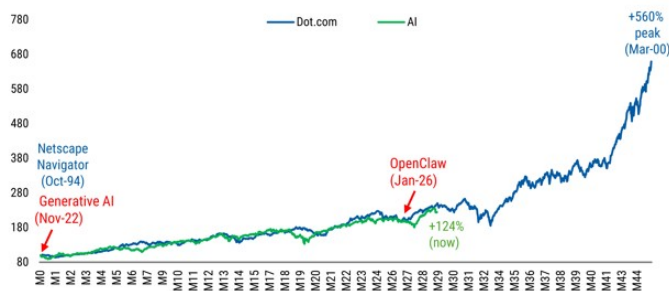
Semiconductors

Memory – A Healthy Reset; We See More Running Room

We argue that the recent volatility in semiconductor stocks does not mean the cycle is over. Rather, our core view is that the cycle is still accelerating. Looking back on the internet build out, Netscape Navigator (the internet-era equivalent of Generative AI) emerged at the end of 1994, and over the next 4 years the NASDAQ was up 149%, and rose another 86% in year 5 (1999). Generative AI came out at the end of 2022, and we are 3 years into this uptrend, with NASDAQ up 122%. A key difference: Earnings revisions today remain robust and appear sustainable, in our view.

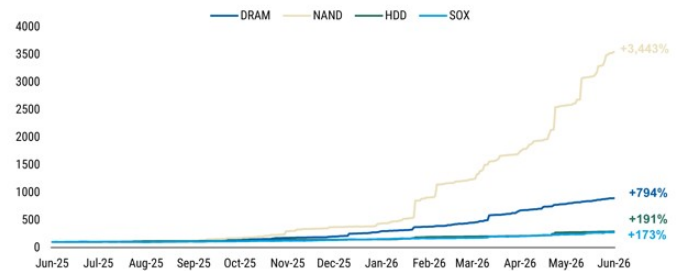
See Memory – A Healthy Reset (10 Jun 2026)

Exhibit 16: AI vs. Dot.com: NASDAQ Performance from the key technology's arrival



Source: Factset, Morgan Stanley Research

Exhibit 17: NTM consensus EPS trend over last 1 year



Source: Factset, Morgan Stanley Research

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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